

GRANULES PHARMACEUTICALS, INC.

Audit Report

October 20, 2014 to March 31, 2015

Prepared by:

Chugh LLP

Accountancy Corporation
2900 Gordon Ave, Ste 100,
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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
of Granules Pharmaceuticals, Inc.

We have audited the accompanying financial statements of Granules Pharmaceuticals, Inc. a Delaware corporation, which comprise the balance sheets as of March 31, 2015 and the related statements of income, retained earnings, and cash flows for the period from October 20, 2014 to March 31, 2015, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.



We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Granules Pharmaceuticals, Inc. as of March 31, 2015, and the results of its operations and its cash flows for the initial period then ended in accordance with accounting principles generally accepted in the United States of America.

chugh LLP

Chugh LLP
Santa Clara, CA
April 27, 2015

GRANULES PHARMACEUTICALS INC
BALANCE SHEET
AS OF MARCH 31, 2015



ASSETS

CURRENT ASSETS

Cash and Cash Equivalents	\$	95,725
Deferred Tax Asset		59,233
Prepaid Expenses		<u>61,089</u>

TOTAL CURRENT ASSETS	216,047
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PROPERTY & EQUIPMENT

Property & Equipment, at cost	1,889,084
Less: Accumulated Depreciation	<u>-</u>

TOTAL PROPERTY & EQUIPMENT	1,889,084
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OTHER ASSETS

Deposits	<u>303,309</u>
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TOTAL OTHER ASSETS	<u>303,309</u>
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TOTAL ASSETS	<u><u>\$ 2,408,440</u></u>
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GRANULES PHARMACEUTICALS INC
BALANCE SHEET
AS OF MARCH 31, 2015



LIABILITIES AND STOCKHOLDERS' EQUITY

OTHER LIABILITIES

Loans and Advances	\$ 507,274
TOTAL OTHER LIABILITIES	507,274
TOTAL LIABILITIES	507,274

STOCKHOLDERS' EQUITY

Additional Paid In Capital	1,998,000
Capital Stock : \$0.001 Par Value, 10,000,000 Authorized Shares 2,000,000 Issued and Outstanding	2,000
Retained Earnings	(98,834)
TOTAL STOCKHOLDERS' EQUITY	1,901,166
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	\$ 2,408,440

GRANULES PHARMACEUTICALS INC**STATEMENT OF INCOME****FOR THE PERIOD OCTOBER 20, 2014 TO MARCH 31, 2015**

REVENUE

Sales Revenue	\$ -
TOTAL REVENUE	<u>-</u>
GROSS PROFIT	-

OPERATING EXPENSES

Selling, General & Administrative Expenses (Schedule A)	<u>150,806</u>
TOTAL SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	<u>150,806</u>
LOSS FROM OPERATIONS	(150,806)

OTHER INCOME (EXPENSES)

Other Income	13
Interest Expense	<u>(7,274)</u>
TOTAL OTHER EXPENSE	(7,261)
LOSS BEFORE INCOME TAX	(158,067)

INCOME TAX BENEFIT

Income Tax Benefit	<u>59,233</u>
NET LOSS	<u><u>\$ (98,834)</u></u>

GRANULES PHARMACEUTICALS INC
STATEMENT OF CHANGES IN RETAINED EARNINGS
FOR THE PERIOD OCTOBER 20, 2014 TO MARCH 31, 2015



	<u>Common Stock</u>		<u>Additional Paid</u>	<u>Retained</u>	Total
	<u># of Shares</u>	<u>Amount</u>	<u>In Capital</u>	<u>Earnings</u>	<u>Stockholders' Equity</u>
BALANCE, OCTOBER 20, 2014	-	\$ -		\$ -	\$ -
Shares Issued during the year	2,000,000	2,000			\$ 2,000
Additional Paid in Capital			1,998,000		\$ 1,998,000
Net Income	-	-	-	\$ (98,834)	\$ (98,834)
BALANCE, MARCH 31, 2015	<u>2,000,000</u>	<u>2,000</u>	<u>1,998,000</u>	<u>\$ (98,834)</u>	<u>\$ 1,901,166</u>

GRANULES PHARMACEUTICALS INC
STATEMENT OF CASH FLOWS
AS OF MARCH 31, 2015



CASH FLOWS FROM OPERATING ACTIVITIES

Net Loss	\$ (98,834)
Provided by Operating Activities:	
(Increase) decrease in operating assets:	
Deferred Tax Assets	(59,233)
Prepaid expenses	(61,089)
Deposits	(303,309)
Increase (decrease) in operating liabilities:	
Loans and Advances	507,274
Net Cash Provided by Operating Activities	(15,191)

CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of Fixed asset	(1,889,084)
Net Cash Provided by Investing Activities	(1,889,084)

CASH FLOWS FROM FINANCING ACTIVITIES

Capital Contribution- Additional Paid up capital	1,998,000
Capital Contribution - Capital Stock	2,000
Net cash provided by financing activities	2,000,000

NET INCREASE IN CASH 95,725

CASH, beginning of year -

CASH, end of year \$ 95,725

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2015



NOTE 1 – NATURE OF BUSINESS

Granules Pharmaceuticals, Inc. (“GPI” the “Company”) was incorporated on October 20, 2014 in Delaware. The Company is a wholly owned subsidiary of Granules India Limited, a company incorporated in India. The Company will focus on Research and Development and Manufacturing of pharmaceutical formulations. The operations will commence in 2015-2016.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The Company uses the accrual method of accounting for both financial reporting and income tax reporting.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Estimates are used in accounting for, among other things, allowances for uncollectible receivables, depreciation and taxes.

Cash and Cash Equivalents

Cash and cash equivalents consists primarily of cash in checking account.

Accounts Receivable

The Company has not generated any revenue for the period October 20, 2014 to March 31, 2015 and accordingly there is no accounts receivable balance as of March 31, 2015.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets when the asset has been put to use. The Company has not put the assets to use as of March 31, 2015 and accordingly no depreciation is accounted for the period October 20, 2014 to March 31, 2015.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2015



Expenditures for minor repairs and maintenance are charged to expense as incurred.

Revenue Recognition

Revenue is recognized when significant risk and rewards in respect of ownership are transferred to the customer and when the following criteria are met:

- Persuasive evidence of an arrangement exists
- Delivery has occurred
- The price to the customer is fixed and determinable and
- Collectability of the sales price is reasonably assured

The Company has not started to generate any revenue during the period October 20, 2014 to March 31, 2015.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) "Accounting for Income Taxes", which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

NOTE 3 – RELATED PARTY TRANSACTION

The Company has taken a loan of \$500,000 from Granules USA a wholly owned subsidiary of Granules India Limited, India. The Company has accrued interest on the outstanding loan @3% p.a. amounting to \$7,274 for the period October 20, 2014 to March 31, 2015.

NOTE 4 – ACCOUNTS PAYABLE

The Company has no accounts payable as of March 31, 2015.

NOTE 5 – INCOME TAXES

The Company accounts for income taxes under the provisions of FASB ASC 740, "Accounting for Income Taxes". Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2015



temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

All of the income before tax as shown in the statement of income for the period ended March 31, 2015 is derived in the United States.

The components of income tax (expense) benefit relating to earnings from operations are as follows:

		<u>03/31/2015</u>
<u>State</u>		
Current	\$ -	
Deferred	5,528	5,528
<u>Federal</u>		
Current	\$ -	
Deferred	53,705	53,705
Total Income Tax Benefit		\$ 59,233

The components of deferred tax asset are as follows:

	<u>03/31/2015</u>
Deferred tax Asset	
Net Operating Loss	59,233
Net Deferred Tax Asset	\$ 59,233

NOTE 6 – STOCKHOLDERS’ EQUITY

The Company was incorporated on October 20, 2014 with an authorized capital of 10,000,000 shares of its common stock with par value of \$0.001 per share. The Company had 2,000,000 common stocks issued and outstanding as on March 31, 2015.

NOTE 7 – CONTINGENCIES AND COMMITMENTS

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company’s activities. Legal reserves are established in accordance with FASB ASC 450 (formerly known as SFAS No. 5), “*Accounting for Contingencies*”. Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change. There are no legal reserves in the statement of financial condition as of March 31, 2015.

GRANULES PHARMACEUTICALS, INC.
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2015



Office Space:

The Company has entered into a long term lease agreement to rent out the office space in Chantilly, Virginia on December 1, 2014 for a period of ten years and five months. The lease expires on April 30, 2025. As per the lease agreement there shall be no rent charged for the first five months.

The future minimum lease payments under this operating lease agreement are as follows:

<u>Year</u>	<u>Amount</u>
2015 - 2016	644,263
2016 - 2017	663,591
2017 - 2018	683,498
2018 - 2019	704,003
2019 - 2020	725,123
2020 - 2021	746,877
2021 - 2022	769,284
2022 - 2023	792,362
2023 - 2024	816,133
2024 - 2025	876,482
2025 - 2026	80,405

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○New Mexico

INDEPENDENT AUDITORS' REPORT ON SUPPLEMENTAL INFORMATION

To the Board of Directors
of Granules Pharmaceuticals, Inc.

We have audited the financial statements of Granules Pharmaceuticals, Inc. as of and for the period ended March 31, 2015 and our report thereon dated April 27, 2015, which expressed an unmodified opinion on those financial statements, appears on page 1-2. Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The information in Schedule A: Statement of Selling, General and Administrative Expenses are presented for purposes of additional analysis of the financial statements rather than to present the financial position, results of operations, and cash flows of the individual companies, and it is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Chugh LLP

Chugh LLP
Santa Clara, CA
April 27, 2015

GRANULES PHARMACEUTICALS INC**SCHEDULE A****STATEMENT OF SELLING , GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE PERIOD OCTOBER 20, 2014 TO MARCH 31, 2015**

Bank Charges	\$	307
Common Area Maintenance Expense		68,516
Consulting Expenses		40,000
Legal & Accounting		480
Insurance Expenses		3,266
Meals and Entertainment		223
Repairs and Maintenance		1,786
Travel		9,392
Taxes and Licenses		2,725
Utilities		<u>24,111</u>
 TOTAL SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	 \$	 <u><u>150,806</u></u>